

Unit 3

Chapter 1:- Commercial Bank

1. Meaning and Definition of Commercial Bank

A commercial bank is a financial institution that accepts deposits from the public and provides loans and other banking services with the objective of earning profit.

Commercial banks act as a link between people who have surplus money (savers) and people who need money for business, personal, or development purposes (borrowers).

Definitions:

According to Prof. Crowther:

“A bank collects money from those who have it to spare and lends money to those who require it.”

According to Indian Banking Regulation Act, 1949:

A banking company is an institution that accepts deposits from the public for the purpose of lending or investment.

Examples of Commercial Banks:

- State Bank of India
- HDFC Bank
- ICICI Bank
- Punjab National Bank

2. Functions of Commercial Banks

Commercial banks perform various functions that help individuals, businesses, and the economy.

A. Primary Functions

1. Accepting Deposits

The most important function of commercial banks is collecting deposits from the public.

Banks provide a safe place for people to keep their money and also pay interest on certain deposits.

Types of deposits:

- Savings deposits

- Current deposits
- Fixed deposits
- Recurring deposits

2. Providing Loans and Advances

Commercial banks provide financial assistance to individuals and businesses.

Types of loans include:

- **Personal loans** – for personal needs such as education, marriage, or medical expenses.
- **Business loans** – for starting or expanding businesses.
- **Housing loans** – for purchasing houses.
- **Vehicle loans** – for buying vehicles.

3. Credit Creation

Commercial banks create credit by lending a portion of the deposits received from customers. The lending activity increases the supply of money in the economy.

B. Secondary Functions

1. Agency Services

Banks act as agents for their customers.

Services include:

- Collection of cheques and bills
- Payment of insurance premiums
- Transfer of money
- Collection of dividends
- Payment of utility bills

2. General Utility Services

Commercial banks provide various useful services:

- ATM facilities
- Internet banking

- Mobile banking
- Debit and credit cards
- Locker facilities
- Foreign exchange services

3. Investment Services

Banks invest money in government securities and other approved investments to earn income.

Importance of Commercial Banks

Commercial banks play an important role in the economic development of a country. They collect savings, provide financial assistance, support businesses, and help in the smooth functioning of the economy.

1. Encourages Savings

Commercial banks encourage people to save money by providing secure deposit facilities and interest benefits. These savings are collected and used for productive investment activities.

2. Provides Capital for Business Growth

Commercial banks provide loans and financial support to entrepreneurs, industries, and businesses. These funds help businesses expand their operations, purchase resources, and increase production.

3. Promotes Economic Development

Commercial banks support the growth of agriculture, industries, trade, and service sectors by providing necessary financial resources. They contribute to overall economic progress.

4. Creates Employment Opportunities

Commercial banks create employment opportunities by providing jobs in banking services. They also indirectly generate employment by financing businesses and industries.

5. Helps in Money Transfer

Commercial banks provide safe and efficient methods for transferring money within the country and internationally through digital banking, cheques, and electronic payment systems.

6. Supports Government Policies

Commercial banks assist the government in implementing various economic and social welfare programmes such as:

- Financial inclusion

- Direct Benefit Transfer (DBT)
- Priority sector lending

7. Promotes Trade and Commerce

Commercial banks support domestic and international trade by providing financial services such as credit facilities, payment systems, and foreign exchange services.

8. Provides Credit Facilities

Commercial banks provide different types of loans and advances to individuals, businesses, and organizations. These credit facilities help meet financial requirements and encourage economic activities.

9. Helps in Capital Formation

Commercial banks collect savings from the public and convert them into productive investments. This process increases capital formation and supports economic growth.

10. Provides Financial Security and Stability

Commercial banks provide a safe system for keeping money and managing financial transactions. They maintain public confidence in the financial system and contribute to financial stability.

Types of Bank Accounts

Commercial banks provide different types of accounts to meet the financial needs of individuals, businesses, and organizations. The major types of bank accounts are:

1. Savings Bank Account

Meaning:

A Savings Bank Account is a type of bank account opened by individuals to keep their money safely and earn interest on their deposits.

It is mainly used for personal savings and regular banking transactions.

Features:

- Suitable for individuals, students, and salaried persons.
- Provides interest on deposited money.
- Allows withdrawal and deposit facilities.
- ATM, debit card, internet banking, and mobile banking facilities are available.
- Requires a minimum balance in many banks.

Advantages:

- Encourages the habit of saving.
- Provides safety for money.
- Earns interest income.
- Easy access to funds.

2. Current Account

Meaning:

A Current Account is a bank account mainly opened by businessmen, traders, and organizations for frequent financial transactions.

It is designed for those who need regular deposits and withdrawals.

Features:

- Allows a large number of transactions.
- Suitable for business activities.
- Usually does not provide interest on deposits.
- Provides overdraft facilities in some cases.
- Requires higher minimum balance compared to savings accounts.

Advantages:

- Helps businesses manage daily transactions.
- Provides easy payment and collection facilities.
- Supports business operations.

3. Fixed Deposit Account (FD)

Meaning:

A Fixed Deposit Account is an account where a customer deposits a fixed amount of money for a specific period at a fixed rate of interest.

The money remains deposited until the maturity period.

Features:

- Fixed tenure ranging from months to years.
- Provides higher interest compared to savings accounts.
- Interest rate remains fixed throughout the deposit period.
- Premature withdrawal may be allowed with certain conditions.
- Considered a safe investment option.

Advantages:

- Provides guaranteed returns.
- Helps in long-term savings.
- Suitable for individuals looking for secure investment.

4. Recurring Deposit Account (RD)

Meaning:

A Recurring Deposit Account allows customers to deposit a fixed amount regularly every month for a specific period and earn interest.

It is suitable for people who want to save small amounts regularly.

Features:

- Requires fixed monthly deposits.
- Has a fixed maturity period.
- Earns interest similar to fixed deposits.
- Encourages disciplined saving.
- Suitable for individuals with regular income.

Advantages:

- Develops regular saving habits.
- Requires small monthly investments.
- Provides assured returns.

5. Salary Account

Meaning:

A Salary Account is a special type of savings account opened by companies for transferring employees' salaries directly.

Features:

- Salary is credited automatically every month.
- Usually has zero or low minimum balance requirements.
- Provides debit card and online banking facilities.
- Offers banking benefits to employees.

Advantages:

- Provides convenient salary management.
- Easy access to banking services.
- Reduces the need for cash payments.

6. NRI Account (Non-Resident Indian Account)

Meaning:

An NRI Account is opened by Indian citizens living outside India to manage their income, savings, and investments in India.

Types of NRI Accounts:

A. NRE Account (Non-Resident External)

- Maintained in Indian Rupees.
- Used for depositing foreign income.
- Interest earned is tax-free in India.
- Principal and interest can be freely transferred abroad.

B. NRO Account (Non-Resident Ordinary)

- Maintained in Indian Rupees.
- Used for managing income earned in India.

- Interest earned is taxable.
- Suitable for rental income, pension, and other Indian earnings.

C. FCNR Account (Foreign Currency Non-Resident)

- Maintained in foreign currency.
- Allows NRIs to keep foreign currency deposits in India.
- Protects against currency exchange risk.
- Interest earned is tax-free in India.

Basis	NRE Account	NRO Account	FCNR Account
Full Form	Non-Resident External	Non-Resident Ordinary	Foreign Currency Non-Resident
Currency	Indian Rupees	Indian Rupees	Foreign Currency
Main Purpose	Saving foreign income in India	Managing Indian income	Saving foreign currency deposits
Source of Deposit	Income earned abroad	Income earned in India	Foreign earnings
Interest Tax	Tax-free	Taxable	Tax-free
Exchange Risk	Present	Present	No exchange risk
Repatriation	Fully allowed	Limited	Fully allowed
Joint Account	With NRI	With NRI or Indian resident	With NRI
Best Suitable For	NRIs sending money to India	NRIs having income in India	NRIs wanting foreign currency savings

7. Demat Account

Meaning:

A Demat Account is an account used to hold shares and securities in electronic form instead of physical certificates.

Features:

- Used for buying and selling shares.
- Stores securities digitally.
- Provides safe and easy management of investments.
- Required for stock market transactions.

8. Joint Account

Meaning:

A Joint Account is a bank account opened by two or more individuals who can operate the account together.

Features:

- Can be opened by family members or business partners.
- All account holders share ownership.
- Different operating instructions can be selected.
- Useful for managing shared finances.

9. Basic Savings Bank Deposit Account (BSBDA)

Meaning:

BSBDA is a basic bank account designed to provide banking facilities to all sections of society, especially low-income groups.

Features:

- No minimum balance requirement.
- Provides basic banking facilities.
- Encourages financial inclusion.
- Helps people access formal banking services.

Differences between various Accounts

Basis	Savings Account	Current Account	Fixed Deposit Account (FD)	Recurring Deposit Account (RD)
Meaning	A bank account used by individuals to save money and earn interest.	A bank account used mainly by businesses for frequent transactions.	An account where money is deposited for a fixed period at a fixed interest rate.	An account where a fixed amount is deposited regularly every month for a specific period.
Main Purpose	To encourage personal savings and provide easy access to money.	To manage regular business transactions and payments.	To provide safe investment and earn higher returns.	To develop regular saving habits and earn returns.
Suitable For	Individuals, students, employees, and households.	Businessmen, traders, companies, and organizations.	People looking for secure long-term investment.	Individuals who want to save a fixed amount regularly.
Nature of Deposit	Demand deposit	Demand deposit	Time deposit	Time deposit
Frequency of Transactions	Limited number of withdrawals and transactions.	Unlimited or high number of transactions.	No regular transactions until maturity.	Monthly deposits with maturity after fixed period.
Interest Rate	Provides interest on savings balance.	Usually does not provide interest.	Provides higher interest compared to savings account.	Provides fixed interest on regular deposits.
Withdrawal Facility	Money can be withdrawn whenever required.	Money can be withdrawn frequently for business needs.	Withdrawal before maturity may involve penalty.	Withdrawal before maturity may have certain conditions.
Minimum Balance Requirement	Usually requires a small minimum balance (varies by bank).	Generally requires a higher minimum balance.	No regular balance requirement after deposit.	Requires fixed monthly installment payments.
Transaction Limit	Transactions may have certain limits.	Suitable for large-value and	Not designed for daily transactions.	Not designed for daily transactions.

		frequent transactions.		
Bank Facility	ATM, debit card, mobile banking, and internet banking available.	Cheque facilities, overdraft, and business banking services available.	Deposit certificate and maturity payment facilities available.	Automatic monthly deposit facilities available.
Risk Level	Low risk	Low risk	Very low risk	Very low risk
Example Users	Salaried employees, students, and individuals.	Shops, companies, and business owners.	Investors wanting fixed returns.	People saving for future goals.